CANADA BREAD COMPANY, LIMITED



INTERIM REPORT TO SHAREHOLDERS

For the Second Quarter Ended
June 30, 2000

CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

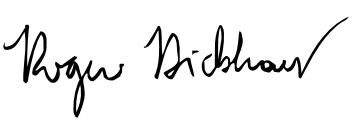
The second quarter represents the fourth consecutive quarter of quarterly earnings increases following improvements to the Company's operations, implemented during 1999.

Sales for the quarter were $139.2 million, compared to $144.7 million last year. The decrease in sales relates primarily to lower sales of fresh products as a result of changes in the customer base and discontinuation of unprofitable products. Improvements in operating margins more than offset these sales decreases. Sales for the year to date of $270.0 million compare to $283.6 last year.

Earnings from operations of $6.3 million for the quarter (1999: $3.9 million) represents a significant increase, arising from operating improvements, including reductions in supply chain and manufacturing waste, sales mix improvements and better pricing controls. For the year to date, earnings from operations of $10.9 million compares to $7.2 million last year.

Net earnings of $3.1 million ($0.14 per share) for the quarter compared to net earnings last year of $2.3 million ($0.11 per share), an improvement of 35%. The improvement in net earnings is not as pronounced as the operating earnings increase due to lower earnings from the Company's investment in Multi-Marques. For the year to date, net earnings of $5.4 million ($0.25 per share) compare to $4.2 million ($0.19 per share) last year.

For the Board of Directors,





Roger M. Dickhout
President and Chief Executive Officer

Richard Lan
Chairman

CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars (Unaudited)	As at June 30, 2000	1999 Restated
ASSETS		
Current assets:		
Cash	**$ 1,839**	$ —
Accounts receivable	**27,878**	26,720
Due from related company	**4,358**	3,841
Inventories	**16,684**	13,863
Future tax asset	**3,139**	—
Prepaid expenses	**2,181**	2,611
	56,079	47,035
Investment in associated company	**45,066**	45,283
Property and equipment	**161,250**	162,854
Goodwill	**75,689**	79,012
	$338,084	$334,184
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	**$ —**	$ 2,012
Accounts payable and accrued charges	**54,030**	53,390
Dividends payable	**1,285**	1,285
Income and other taxes payable	**463**	185
Current portion of long-term debt	**102**	76
	55,880	56,948
Long-term debt	**20,218**	22,362
Future tax liability	**35,896**	—
Deferred income taxes	**—**	23,291
Shareholders' equity	**226,090**	231,583
	$338,084	$334,184

NOTES TO INTERIM FINANCIAL REPORTING

New accounting guidelines issued in Canada require the liability approach to be adopted to account for income taxes. The Company has adopted the new income tax accounting standard retroactively, effective January 1, 2000, without restating the financial statements of any prior periods as permitted under the standard. Application of the recommendation would not have materially affected net earnings or net earnings per share as previously reported for 1999. In total, the adoption of the standard results in a cumulative reduction to retained earnings at January 1, 2000 of $7,819,000.

The Company has adopted the new accounting guidelines for pension benefits prospectively from January 1, 2000. This application of the recommendation does not materially affect net earnings or net earnings per share as at and for the six months ended June 30, 2000.

In 1999, the Company elected to retroactively change the method used to account for post-retirement benefits other than pensions, and accordingly restated opening shareholders' equity. The impact of these changes is described in Note 14 to the Company's 1999 Annual Financial Statements.

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter Ended June 30, 2000	Quarter Ended June 30, 1999	Six Months Ended June 30, 2000	Six Months Ended June 30, 1999
Sales	**$139,227**	$144,707	**$269,980**	$283,610
Earnings from operations	**6,256**	3,916	**10,910**	7,236
Other income (expense)	**(134)**	352	**(101)**	578
Earnings before interest and taxes	**6,122**	4,268	**10,809**	7,814
Interest expense	**655**	578	**1,242**	1,178
Earnings before income taxes	**5,467**	3,690	**9,567**	6,636
Income taxes	**2,407**	1,366	**4,212**	2,481
Net earnings for the period	**$ 3,060**	$ 2,324	**$ 5,355**	$ 4,155
Earnings per share	**$ 0.14**	$ 0.11	**$ 0.25**	$ 0.19
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.12**	$ 0.12
Weighted average number of shares (millions)	**21.4**	21.4	**21.4**	21.4

CONSOLIDATED STATEMENTS OF CASH FLOW

In thousands of Canadian dollars, (Unaudited)	Six Months Ended June 30, 2000	Six Months Ended June 30, 1999
CASH PROVIDED BY (USED IN):		
OPERATING ACTIVITIES		
Net earnings for the period	**$ 5,355**	$ 4,155
Add (deduct) items not affecting cash:		
Depreciation	**8,497**	8,440
Amortization	**1,518**	1,553
Deferred income taxes	**—**	(473)
Undistributed earnings of associated companies	**1,063**	485
Changes in non-cash operating working capital	**(11,786)**	3,477
	4,647	17,637
FINANCING ACTIVITIES		
Dividends paid	**(2,570)**	(2,570)
Increase (decrease) in long-term debt, net	**5,442**	(4,512)
	2,872	(7,082)
INVESTING ACTIVITIES		
Additions to property and equipment	**(4,244)**	(10,446)
	(4,244)	(10,446)
Net increase in cash for the period	**3,275**	109
Bank indebtedness, beginning of period	**(1,436)**	(2,121)
Cash (Bank indebtedness), end of period	**$ 1,839**	$ (2,012)


CANADA
BREAD
TM